

IMPORTANT CHANGES TO

CONVENTIONAL CONDO FINANCING



Fannie Mae

Fannie Mae and Freddie Mac have released updates to Condo guidelines and insurance requirements that could make more condominium projects eligible for Conventional financing.

CHANGES TO INSURANCE:

- 1-4 unit condos no longer require replacement cost value
- Inflation guard is no longer required on condo projects
- Per unit deductible is now capped at \$50,000 but can be > 5%
- HO6 max deductible is 5% or \$2,500, whichever is greater

CHANGES TO CONDO GUIDELINES:

- Waiver of Project Review can now include 5-10 unit projects
- No limit on investor concentrations on established projects
- Florida projects no longer require PERS review
- Discontinued the Limited Review process on applications on or after 8/3/26
- Budgeted reserve allocation increased to 15% on applications on or after 1/4/27

Conventional financing provides an affordable solution for condo buyers. With down payments as low as 3% and flexible credit requirements, these changes could help make Conventional financing accessible to more condo buyers.

Reach out to learn more about these changes!



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